ICAP Strategic Case Study - Summer 2026

Predicted Paper # 2 - Question Paper

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This paper is based on the Summer 2026 pre-seen material. All questions are compulsory. Marks total 100. Amounts are in Rs million unless otherwise stated.

Scenario

It is 22 July 2026. You are a Senior manager in KMCH's finance and business development team. The Board has asked the team to evaluate a proposed electric vehicle (EV) and hybrid fleet pilot before deciding whether to approve it at the next Board meeting.

The proposal has been prepared in response to three pressures: corporate customers are increasingly asking for lower-emission mobility solutions; the Finance Director is concerned about rising fuel and maintenance costs; and the Chair wants KMCH to preserve its premium positioning while avoiding an uncontrolled capital commitment.

You have been provided with the following appendices:

1. Email from the Chief Executive Officer
2. Proposed EV / hybrid pilot and financial assumptions
3. Sensitivity information and accounting impact
4. Funding alternatives for the pilot
5. Operations Director's note on implementation risks
6. Marketing and sustainability update
7. Tax Manager's note on EV / hybrid tax and sales tax issues

Required

Question 1

(a) Evaluate the strategic benefits and risks of KMCH entering into strategic alliances with hotels, airlines, tourism operators and corporate travel managers. (10 marks)
(b) Calculate the NPV of the proposed EV / hybrid pilot and comment on the result. (14 marks)
(c) Assess the sensitivity of the EV / hybrid pilot to the key assumptions identified by the Finance Director. (8 marks)

Question 2

(a) Evaluate vendor financing compared with bank debt and leasing for the EV / hybrid pilot. (10 marks)
(b) Discuss the operational challenges of EV adoption in Pakistan for KMCH. (8 marks)

(c) Recommend changes to KMCH's organisational structure and reporting lines to support multiple strategic initiatives, including the EV / hybrid pilot, corporate partnerships, new-city expansion and service-quality improvement. (10 marks)

(d) Evaluate the impact of the EV / hybrid investment on KMCH's ROCE and capital efficiency. (10 marks)

Question 3

(a) Assess whether the EV / hybrid pilot should be positioned as a premium corporate ESG mobility product rather than a mass-market rental offering. (10 marks)

(b) Discuss possible income tax / sales tax concessions, restrictions and documentation issues relating to EV / hybrid procurement and operation. (10 marks)

(c) Recommend whether KMCH should proceed with the EV / hybrid pilot, defer it, or run a smaller trial. (10 marks)

Appendix 1 - Email from the Chief Executive Officer

From: Chief Executive Officer
To: Finance and Business Development Team
Subject: EV / hybrid fleet pilot - Board paper

As discussed in the last Board meeting, we need a balanced paper on whether KMCH should approve a limited EV and hybrid fleet pilot. I do not want this to be presented only as a sustainability initiative. It must be assessed as a strategic, operational and financial decision.

Some directors believe that early adoption will strengthen our premium brand and protect corporate accounts that are under pressure to reduce their carbon footprint. Others are concerned that EV adoption in Pakistan is still at an early stage and that charging reliability, technician capability and resale values remain uncertain. Ayesha has also asked that we should not approve a project which looks good in marketing terms but weakens ROCE or increases funding pressure.

Please prepare advice for the Board covering the strategic rationale, financial appraisal, funding alternatives, operational readiness, controls, tax implications and final recommendation.

Appendix 2 - Proposed EV / hybrid pilot and financial assumptions

The Business Development Director has proposed replacing part of the normal ICE fleet renewal programme with a dedicated EV / hybrid pilot. The pilot would run for five years and would be limited to premium corporate leasing, airport transfers and chauffeur-driven services in Karachi and Lahore. The pilot would not initially be used for long-distance northern-route travel.

Item	Assumption
Fleet mix	40 EV sedans and 10 hybrid SUVs
Vehicle cost	EV sedans: Rs 11.8m each; hybrid SUVs: Rs 18.5m each
Charging infrastructure	Rs 72m at depots and selected partner locations
Telematics / app integration	Rs 22m initial integration cost
Initial training and safety certification	Rs 8m before launch
Total initial investment	Rs 759m, payable immediately
Project life	5 years
Residual value at end of Year 5	Vehicles Rs 310m; charging infrastructure Rs 18m
Government green-mobility grant	Rs 45m receivable at the end of Year 1 if KMCH maintains at least 80% vehicle availability and submits verified energy-consumption data
Working capital	5% of incremental rental revenue, invested at the start of each year and fully released at the end of Year 5
Discount rate to be used by finance team for base case	15% unless the Board approves a different risk-adjusted rate

The Finance Director has prepared the following pre-tax operating estimates compared with the normal ICE replacement alternative:

Year	1	2	3	4	5
Incremental rental revenue	198	220	242	264	286
Fuel and maintenance savings compared with ICE vehicles	64	70	76	82	88
Additional operating costs: charging, insurance, specialist staff, software support	48	53	58	63	68

For appraisal purposes, qualifying capital expenditure for tax depreciation is Rs 729m. Tax depreciation is available at 25% reducing balance. Any balancing charge or allowance should be recognised at the end of Year 5 based on disposal proceeds. The income tax rate is 29%. Tax is paid one year in arrears.

Appendix 3 - Sensitivity information and accounting impact

Finance Director has cautioned that the business case is sensitive to utilisation, fuel savings and residual values. They asked that the Board should not approve the pilot merely because the base case NPV is positive. In their view, the Board should understand which assumptions drive the value of the pilot and whether the assumptions are consistent with KMCH's premium operating model.

Scenario raised by Finance Director	**Reason for concern**
Utilisation of EVs is 10% lower than base case	Corporate clients may like the ESG story, but operational teams may under-allocate EVs due to range anxiety or charging inconvenience.
Fuel and maintenance savings are 15% lower than forecast	Battery warranty exclusions, specialist spare parts and tyre wear may reduce the expected cost advantage.
Residual value of EVs and chargers is 20% lower than forecast	Pakistan's used-EV market is still shallow and resale values may fall if battery technology changes quickly.
Electricity and charging-related operating costs increase by approximately Rs 5.5m to Rs 7.5m per year	Commercial charging tariffs may be higher than expected and depot charging may require generator backup during outages.

For ROCE purposes, management expects KMCH's base case EBIT before the EV pilot to be Rs 280m in 2026-27 and capital employed to be Rs 2,210m. The accounting depreciation charge on the pilot may be calculated on a straight-line basis over five years using the expected residual value. The Board target ROCE remains 15%.

Appendix 4 - Funding alternatives for the pilot

The Finance Director has received indicative terms from banks, leasing companies and an EV distributor. The alternatives are not final offers and are subject to due diligence, security documentation and Board approval.

Alternative	Indicative terms
Vendor financing	The EV distributor will finance 60% of the vehicle cost only. A 10% deposit on the financed amount is payable immediately. The balance is repayable in five equal annual instalments of Rs 101m payable in arrears. The package includes battery warranty support and priority spare-parts access. Title to financed vehicles remains with the distributor until the final instalment. Early exit penalty is 6% of outstanding balance.
Bank term loan	Five-year secured term loan at a fixed rate of 17.5% per annum, with annual interest payments and principal repayment at maturity. Arrangement fee is 1% of the loan amount. The bank will require a charge over vehicles and maintenance of minimum interest cover of 3.0 times.
Operating lease	Five-year lease for equivalent EVs and hybrids at annual rental of Rs 168m. The lease includes standard maintenance but excludes charging infrastructure and telematics integration. Mileage is capped at 32,000 km per vehicle per year. KMCH has no residual value risk but must pay excess mileage charges and return vehicles in prescribed condition.
Retained earnings / internal cash	The Finance Director notes that KMCH has cash reserves, but major simultaneous projects are also being considered, including IT upgrade, Islamabad expansion and depot restructuring.

Appendix 5 - Operations Director's note on implementation risks

The Operations Director supports a controlled pilot but is concerned that EVs should not be deployed before operational processes are ready. His note to the CEO included the following comments:

Our premium service promise depends on punctual vehicle delivery, clean and roadworthy vehicles, reliable roadside assistance and fast replacement if a vehicle fails. EVs will change our operating model. Charging slots, battery health, tyre wear, technician training and route planning must be monitored more closely than for normal ICE vehicles. The current telematics platform can track location and utilisation, but it does not currently provide a consolidated dashboard for battery health, charging behaviour or charger downtime.

The pilot should be limited to routes with predictable distances and depot or partner charging availability. We should avoid committing EVs to long-distance bookings until range, driver behaviour and charging coverage are proven. Depot teams will need written SOPs for handover, charging, emergency response, battery-related customer complaints and escalation to vendors. We will also need to update driver training and insurance protocols.

Appendix 6 - Marketing and sustainability update

The Sales and Marketing Director has reported that three large corporate customers have asked whether KMCH can provide lower-emission vehicles for executive travel and airport transfer contracts. One customer has indicated that from 2027 its procurement scoring will include supplier carbon-reduction initiatives. Another has asked for monthly reporting of estimated emissions saved compared with standard vehicles.

The Sales and Marketing Director believes a limited EV and hybrid pilot would support KMCH's premium positioning, particularly if offered as a corporate ESG mobility product rather than a mass-market fleet. However, she has warned that any service failures in the pilot would damage KMCH's premium brand more severely than delaying the launch. She has asked for clear service standards before the pilot is marketed.

Appendix 7 - Tax Manager's note on EV / hybrid tax and sales tax issues

The Tax Manager has reminded the finance team that EV and hybrid tax benefits should not be assumed without confirming the exact applicable conditions at the time of import or purchase. He noted that concessions, reduced duties, exemptions or special treatment may depend on vehicle category, engine/battery specifications, local registration, vendor documentation and whether the vehicle is imported directly or purchased from a registered local supplier.

He also noted that input tax on vehicles, spare parts, charging equipment, repairs and maintenance may be subject to restrictions or apportionment rules. Claimability will depend on whether KMCH holds valid tax invoices, whether the relevant cost is used for making taxable supplies, and whether any specific restriction applies. If vehicles are used partly for exempt, non-taxable or internal purposes, the finance team may need to restrict or apportion input tax claims.

The Tax Manager has asked that the Board paper should not state the project is tax-efficient unless the finance team has separately verified input tax claimability, import documentation, registration status, and the tax treatment of grant income, residual disposals and charging infrastructure.

Appendix 8 - Sales and Marketing Director’s note on partnerships and organisation structure

Zara Khan, Sales and Marketing Director, has separately informed the CEO that KMCH’s growth plans should not be viewed only through the EV / hybrid pilot. In her view, KMCH’s premium positioning can be strengthened through selected strategic alliances with hotels, airlines, tourism operators and corporate travel managers.

She noted that several five-star hotels in Karachi and Lahore currently arrange guest transport through small local operators. Service quality is inconsistent, and hotel managers have informally indicated that they would consider a preferred mobility partner if KMCH can guarantee punctual airport pickup, clean vehicles, trained chauffeurs, digital booking support and transparent billing. One domestic airline has also approached KMCH to explore a premium airport-transfer partnership for business-class passengers, but no commercial terms have yet been agreed.

Zara believes these partnerships could help KMCH increase utilisation, access premium customers at lower marketing cost, and differentiate itself from low-cost car-rental operators. However, she also warned that such alliances may create service-level obligations, penalty clauses, brand-sharing risks and dependence on a few large partners. She said that KMCH should avoid signing partnership agreements unless it can monitor service standards, complaints, billing accuracy and vehicle availability by partner.

The CEO asked whether KMCH’s current organisation structure is suitable for this wider growth agenda. Zara responded that responsibilities are currently split across operations, sales and marketing, IT, fleet management and finance, but no single executive owns corporate partnerships, service-level performance or strategic project delivery. She said this could create confusion once KMCH is simultaneously managing the EV / hybrid pilot, possible Islamabad expansion, depot restructuring, corporate partnerships and IT upgrades.

The HR Director added that depot managers are already focused on daily operations and should not be expected to manage hotel, airline or corporate alliance commitments without additional support. She suggested creating a small Strategic Projects and Partnerships function reporting to the CEO, with clear coordination lines to Operations, Fleet, IT, Finance and Customer Experience.

The CEO has asked the finance and business development team to consider whether:

- strategic alliances would support KMCH’s premium strategy;
- partnerships could improve utilisation without excessive capital expenditure;
- KMCH should accept service-level obligations with hotel, airline and corporate partners;
- responsibility for partnerships and strategic projects should remain with existing functions or be centralised; and
- the Board should approve any changes in reporting lines before new partnership contracts are signed.